The Treasury Just Blinked. Here’s What Comes Next

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode argues that the U.S. Treasury is actively intervening in long-term bond markets through unexpected duration buybacks to suppress yields and manage debt maturity, effectively reversing their previous stance of avoiding rate hikes as long-end yields would naturally tighten conditions. Despite short-term relief causing gold and commodities to rally on a day of significant dollar weakness, the speaker warns that this limited intervention ($38 billion) is insufficient to counteract structural inflationary pressures (El Niño, war). Consequently, market pressure will likely force the Treasury and Federal Reserve into more aggressive balance sheet expansion disguised as non-QE yield capping measures, creating a high-risk environment for bonds and favoring assets like gold, non-U.S. equities, and precious metals.

2. Key Arguments & Data:

3. **Market Performance:** S&P closed +0.21% (up ~1%), Nasdaq 100 -0.2%, Mac7 +1.38%. Commodities surged except for Oil (flat). Gold +3.6%, Miners +9.42%.
4. **Treasury Intervention:** Announced unexpected $38 billion buyback program to retire long-duration bonds, lowering the weighted average maturity of debt from ~70 months. This is a "1% drop in the bucket" of total deficit but signals a strategic pivot away from short-term bills toward 20-30 year bond holding.
5. **Fed Policy Critique:** Speaker criticizes Fed Chair Kevin Warsh's claim that long-end yields do the heavy lifting to cool inflation; argues Treasury stepping in caps yields artificially, preventing natural market pressure on inflation expectations.
6. **Inflation Risk:** Two-year inflation swap rose +6 basis points despite Fed rhetoric; import prices (capital equipment) up >6%. Energy and food price volatility suggests inflation is "not going away."
7. **Dollar & Global Impact:** Dollar down 0.86% driven by market dynamics favoring commodities/AI over short bonds, benefiting

gold/miners/XU US (+0.63%). Biotech ETFs gained +13.26% (e.g., Moderna up estimated 177% on mRNA treatment news).

8. **Geopolitical Context:** Potential shift from oil price manipulation (Pakistan/Axios rumors) to bond market intervention; speaker suggests "thumb on the price of bonds" is replacing previous oil suppression tactics.

9. **Future Expectation:** Belief that QE will return via non-technical methods (banks balance sheets, 401ks) or larger buybacks if yields rise again, but this will come at the cost of higher inflation and economic instability.

10. Actionable Takeaways:

11. **Bonds:** Proceed with caution on long-duration bonds; do not assume the current yield suppression will hold without market pressure or that inflation expectations are under control.
12. **Gold & Commodities:** Maintain positions in gold, silver, miners, and platinum given the dollar down environment and potential future monetary stimulus.
13. **Equities:** Favor non-U.S. equities (ex-US) as they perform best when the dollar weakens; favor healthcare/biotech over tech-heavy sectors currently.
14. **Market Positioning:** Expect a market push toward Yield Curve Control or "disguised QE" to cap yields, meaning capital flight is possible into safe havens that hedge against currency and debt inflation risks.

Full Transcript

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All right, welcome back to another edition of the daily dots chase flying solo with you here on Wednesday August 19th and unlike the last few days I Not only have some stuff to save us some exciting stuff. So With that said if anyone watching the video, it's hot in here and so I might be looking like Shaq shooting free throws here by the end of the saying I might need a towel So I'll start with the market rundown and then I'm just gonna go off about the treasury for However long it takes for me to get through that S&P closed the day Only up 0.21 and the only part will make sense here in a little bit Despite that equate was up about 1% and we'll also get into some of that Nasdaq 100 though down 0.2 given given the news of the day not great Small caps were up about half a percent big one had a really nice day up seven One of the biggest reason that you had commodities up, especially the more liquidity sensitive ones, simply dollar down 0.86%. Brutal day for the dollar and we'll spend most of the day talking about why. Mac 7 was up 1.38%. It appreciated the fact that we had yields drop naturally because at the end of the day, the Mac 7 is competing with the Treasury to sell those.

Given the AI cap X build out and the enormous sums they have to spend there all world X us was up point six three Obviously that beat the S&P by over you know over point four percent, which is just good But given a point

eight six down day on the dollar not not that impressive honestly, but there were some single countries That had really really nice days at the same time the you know AI You know headwinds for places like Korea are still an issue. Within Mag7, there was really no giant single moves. The biggest move was Tesla up 4.2%. Amazon was up 2.5%, but yields probably the biggest story other than the dollar. Two was essentially flat, but the tenure was down six basis points and the 30 was down nine. Oil was basically flat. So oil played no role in a lot of the other stuff that went on today.

Gold up 3.6% monster monster day for gold silver up 4.4% Gold miners talk about a monster gold miners up 9.42% on the day So again these like liquidity proxies gold gold miners Bitcoin all the crypto stuff up huge platinum up 5 and change palladium up 3.7 Night nice nice day for commodities other than oil and oil My opinion probably just took it one day off Um, vol down 3.2% on front month of all you're at 17.6. I'll just say it flat out. That's cheap now. Um, DRAM was flat. Chips were down one and a half to go back to why the rest of the world had problems. Like again, AI traded not great bloom energy down. So a lot of the AI proxies, you know, flat to down today. Uh, as far as like some sectors went, I've been talking a lot about the things I like, which has been healthcare biotech. That stuff was up huge today. You had Moderna come out with an mRNA treatment for melanoma that looks very, very promising after some testing. And that had Moderna up, I think it was 177%, which is obviously a pretty decent move. And obviously, there were some sympathy moves from the rest of the space that also kind of helped lift all the biotech. One of the One of the biotech ETFs that I track and we own here at Bull Work and one of our portfolios was up 13.26%. That's pretty good for a sector ETF, obviously. But I think that's it for the markets and I'll spend the rest of my time talking about the Treasury. I was very, very critical of the Fed. I wrote a piece right after the Fed this past January or this last month of the July.

FOMC meeting where Kevin Warsh basically just came out and said, well, we're not hiking. Inflation is this huge problem. I'm not going to stand for it anymore. We're going to do something about it. And then he's had two meetings and he didn't hike, which is just on its own problematic to me. I was not surprised. I have never believed he was going to be a real hawk, but he tried to sell himself as a real hawk, which my point was like, look, if you

want to be a dove, just be a dove, but don't. What's the point of acting like a hawk where you're a dove? You're just going to get the market off sides and make a problem. But to his credit, the argument he made in July, I thought it was dumb, but at least he made it was, hey, look, we don't have to raise rates on the short end because the back end rates are basically hiking for us. The long bond yields are going up. That's tightening financial conditions. That's going to slowly slow everything down. That'll help bottle up inflation. So we don't have to do anything. Who cares about the policy rate?

if the long end is going to do it for us. I don't agree with that for a bunch of reasons I wrote in that piece, but it's not insane. Yes, the long end of the bond market can absolutely slow everything down for you, but that's the problem. They're not going to let the long bond go and break stuff in the economy and start messing with equity prices and stuff like that, obviously. That was three weeks ago, I think, to the day. And here we are. Today, the Treasury comes out, announces some unexpected buybacks, doubling their buybacks for longer duration bonds. And all that means is taking some cash and buying some older bonds, getting them off the market essentially. In the way that works in practice is you can sell some short-term T-bills, take that cash, go buy a 20-30-year bond and retire it. So you're essentially doing the same thing.

the Fed did back in the day where you're just lowering the duration of the broader total portfolio. And with that, I think the most important chart in the world moving forward probably is going to be the Treasury's weighted average maturity of the debt. So that kind of self-explanatory what it is, but the average duration of the Treasury's debt profile, which is still about 70 months. It's not like we're running nothing but T-bills. Now, that's where we've heavily skewed things in the last few years, but we're still running a pretty high weighted average maturity, even historically. But what I would say is today's move makes pretty clear to me that they're going to slam that weighted average maturity. They're going to bring it way down. People are talking about like, maybe we just should not sell bonds past 10 years anymore. And I would not be surprised if they did that.

We are rapidly moving towards an emerging market debt management framework. If you're going to do EM stuff at your treasury, you're going to

do EM stuff with your central bank, we're going to try to do very EM stuff with our central bank probably at the same time and expect basically what we used to get by doing that. And I think we won't get that. I think we'll get what an emerging market would get if they tried that, which isn't near as good. There are a lot of problems. With this one one of them is treasury buybacks aren't very big I think the treasury allocated for themselves for this they call it liquidity management 38 billion dollars that is like a 1% drop in the bucket for the whole deficit so like It's not enough size to matter now the reason the market took it very seriously today is despite the fact that that's obviously nothing The signal is like we're we're not gonna let bond bond yields go Ripping through to like six percent of 30 or at least not without us pushing back, right? So for me the way I view this is like, okay Well buybacks aren't gonna do it. You get you have war inflation of El Nino inflation you have tech inflation Now now the dollar is gonna go down. So you're gonna have some important inflation on top of it like you have an inflation problem until you get through a Nino until this war ends like almost no matter what, there's nothing you could do about it. And with that, that's going to want bond yields higher with or without treasury buybacks. Now, for one day, you get the nice market move that you got today, nine basis points on the 30 year. But I mean, the 10 year was like a two day low or something. That's not a big deal. My view is that you very well may get bond yields Even starting tomorrow if you have you know food and energy prices and stuff up again Just kind of being like that was cool. Thanks for that, but we're gonna go back up And then you're pressuring the Fed and the Treasury to do more than buybacks to do just outright QE now can they do that in a non technical QE way by shoving shoving it on the banks balance sheets or Me and your balance sheets, you know some minimum requirement for 401ks or something like like they can do stuff like that, too But whether it's that or just the Fed just going out and buying a bunch of duration, they're going to have to find a way to cap yields. And that's what this is. This is an exercise in capping yields, is an exercise in manipulating long-end yields down, which is inevitable. I knew it was coming. I've known it was going to come for years. We've done it off and on, if you think about it for 15 years or whatever.

And it's gonna come back and it's gonna come back in size and it's gonna come back with all the all the consequences that you know are gonna come

with it and Some are good some are bad for different parts of the market and for different parts of the economy But you know These are people that have preached against this they've preached against Treasury buybacks and matter of fact they've preached heavily against QE So the fact that they're gonna be the ones that are doing it is somewhat notable like to me at least, if you're going to say Janet Yellen, her messing with the cadence in the composition of debt sales was trying to get somebody elected and then you do it in the same way but bigger. And literally this new buyback program ends the day before the election, which is... I'm kind of glad they put that in there, honestly. At least it's being transparent. But the promise isn't going to work. It's just not big enough. So I do expect the QE to come later.

And I think I saw a lot of people pushing back, you know, today online and be like, well, this is small. Who cares? True. Absolutely true. But that's why I think the market's going to go push them to actually meaning it with some real QE. And that's why I think gold is like not going to treat this like just like a little, you know, paper cut or whatever. It's going to be like, oh, no. Okay. Well, it's pretty obvious they reached their limit on the on the 10 or 30 or whatever. And now, you know, we can go run because They're going to essentially do yield curve control. They're going to cap rates. Dollars are going to have to be the outlet valve. At the end of the day, the opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. It's been clear to me for anyone paying attention. They weren't going to say the dollar. They were going to say bonds. It's like a firefighter going into a building and there's a dog and a baby. They're grabbing the baby.

and bonds with a baby and unfortunately the dollar is the dog. So that's where all these future investment implications come in. That's why we already really like precious metals. We already really like non-US equities because those things will do the best in this dollar down environment. And it was a good day for the home team because our book really likes when the dollar goes down. The tough part for this is like, you know, whenever Kevin Warsh comes out and says, don't worry about it. The long-end yields are going to take care of this forest. But then if the Treasury goes in and it turns

that off, well, now you better hike. If you don't hike, then you got neither. You're not tightening and the bond market's not tightening because you won't let it. And that's a big deal. He explicitly said that that stuff was tightening financial conditions. Well, now it's perhaps not going to.

or at least we're signaling that we don't want it to. So to me, there's a lot of pressure on him to go out and hike at this next meeting. And if he does not, that's where I could see, again, the long bond blowing out that much more inflation expectations, getting off their bizarre, you know, levels that they're at here, in my opinion, like to me, inflation swaps are completely on drugs where they're at. They need to be much, much higher. At last check, the two year inflation shop was up like six basis points today. So again, This policy prescription is just gonna make inflation move higher split inflation expectations move higher Which is counterproductive You're basically laying your own trap to force you to do the thing you have preached against for your your whole career QE The other thing like Kevin Warche talked a lot about this whole playing the ball not the referee thing and You know we want to get out of the way so that we can so the market has to like look at The fundamentals itself and then price things not look at the fundamentals and then look over at us for what we're doing to make the prices because you know in his analogy the Fed I would I would argue also Treasury are the referee don't leave the ref just look at the ball, you know play the game Well now I'm sitting the Treasuries out here doing unexpected, you know like yield suppression Operations which Means the referee is back in the game, right? So the markets are gonna have to look back at the referee but now the only one referee because the Treasury is speaking loudly while the feds not saying anything, right? So he both needs to aid say something That means something and raise rates. I think at this September meeting our part for that is like the last couple inflation Prince have been pretty chill last jobs report wasn't wasn't great a lot of the data has been kind of weak had bad retail sales although I think that was I think that was more because Amazon pulled forward their Amazon Prime Day, which probably pulled forward a lot of demand, which made that month bad. But regardless, we've had a lot of rough data lately. Another thing that comes to mind with all of this is, you know, we've talked about it a lot. They're manipulating on the price of well-down. Like all these coordinated jaw bones, you know, you either have Axios or Scott Besson himself or obviously the president or somebody at

the White House or Pakistan or, you know, a Saudi news outlet coming out with a rumor about how, you know, we have an imminent deal and they're talking and the talks are going great and there's an MOU and right around the corner and they're going to give us everything that we want. And that's happened like a million times. We all know that by now and that keeps always suppressing the price of oil. And then it comes out yesterday President Trump tells all of our people, you know, don't talk to Iran anymore. We're not talking to them for now.

So to have that happen yesterday to have this happen today and some other stuff that I'll talk about But it makes me wonder if the thumb that we had on oil is the same thumb that we are now trying to put on bond yields and what I mean by that is like what if What if we're stopping the manipulation of oil? Because for some reason that's too hard. Maybe Pakistan wasn't played doesn't want to play ball anymore Maybe the fella at Axios is tired of ruining his reputation or whatever like And like no one really wants to play ball with that game anymore. So they're like, all right, well, we got to do something. We can't just let, you know, oil and bond yields go crazy. So like, well, let's just do this instead of the bond market, at least buys a few days. I think it's possible. I'm not saying that's exact. That's what's happening by any means. But I think it's at least possible. And of note, things with Pakistan have changed a little bit. Like, I think as our ambassadors to India, just kind of openly refer to some territory that is heavily disputed between Pakistan and India as Indian territory Which is a giant slap in the face of Pakistan and Pakistan has been Absolutely doing our bidding with this leak into rumors and being an intermediary for the talks and hosting talks and all this stuff So to see like to see us kind of throw Pakistan under the bus at the same time as we may or may not be pivoting away from a You know intervening in oil markets and suddenly intervening in bond markets at least an interesting consequence, excuse me, coincidence. So something to at least keep in mind. And I'll leave you with something I said on Twitter today that we went from listening to bonds to telling them to shut up in three weeks. And that's like my big takeaway here. Three weeks, we couldn't get a month. I thought we'd make it until we got to, in the piece I wrote, I'm kind of talking about was like, I thought we'd get into, we got like a one of these really hot inflation prints, which I think we'll get on the next one because energy prices have come back up,

but sort of like to have the Fed undercut three weeks after they made this sort of declaration of no need to cut. I just think it says a lot. I think it says a lot about the people leading those institutions. I think it says a lot about the lack of a coherent strategy. I think it says a lot about the need To manipulate markets and I'm not even arguing about necessarily like we can we let the 10 year go to 10%? No, we cannot like obviously like not palatable thing So I'm not necessarily just whole cloth against having to step in and do stuff with markets at times but again like that if you go back three weeks ago Like you were in the middle of the war with a bunch of inflation from it. You knew the so Nino's like you knew inflation was coming What was the point of saying like that's fine the bond market will take care of it?

Because the bond market doesn't care about the same things you do as the Fed. You care about things like unemployment. The bond market, not so much. If you're going to tell the bond market to fight inflation for you, it's just going to do it. And we saw in the last three weeks, it did, almost every day of 30 years up in yield. So I think what people are going to take away from this is all clear to buy bonds. All of these things that went up today are just going to be... They're totally fine from now on. Buying yields at the top is in. All these kinds of things, like dollar, we're going to get smoked. I'm open to that. I am open to the signal being strong enough to where like, who cares about the mechanics? Totally open to that. But I have a suspicion the market is going to, is market is actually going to go press them into having to do the QE. I just don't think the buyback is big enough. Now, if we didn't have the war and, you know, and Nino and all this kind of stuff that's going to be inflationary, like right in your face, Then I could see the argument for like, well, you know, bond yields don't really have to go up that much. But because we are in this inflationary environment, that the market is completely under, you know, selling to itself. I talked about the swaps. Like, if you just look at a chart of diesel futures and one or two year inflation swaps, like it's pretty wild. They move together. And then here in the last couple of months, they just completely break apart.

And to me that makes no sense because diesel finds its way like we talked about yesterday right ends the price of everything It's not just diesel like it's gonna be food. It's gonna be services You can see it in the import data import prices Capital equipment import prices are up over 6% you over

here most that AI stuff, right? Well, if you bring if you bring along in yields down You kind of let the AI guys go back to like selling more debt which is more supply so this There's governors on this stuff to where it really won't let it come down in a meaningful way, other than QE. Point being, I think all roads lead to QE. You could argue, like, what we saw today is just going to stick the whole way to QE. My argument is going to be that I think there's a decent chance they have to get pressured into it. What would that mean? You know, oil up, rates go back up and we're like, man, we have no buybacks. That was 20 basis points ago. It's where they have to go bigger because, you know, now.

Can they do more than the 38 billion they said they could do? Yeah, there's it's not a wall like they said this is how we'll do it But that's a pretty market-shaking event if you go off script off the kind of quarterly cadence of When you announce these things and you just you know go rogue and do two three hundred billion of buybacks or whatever on duration that would have significant market implications so I would say I'd be careful with Loving bonds here. I would be careful with you know getting over your skis and metals and XUS and all that that's that's that's where this is all going But I think there's there could be a pullback until they do the QE thing which they're gonna promise you they won't call QE like if there's anything I can I can I could definitely say it's that they will find a way to add Treasuries to a balance sheet and they will call it something vastly different than QE They will argue until the blue in the face that it's nothing like QE. It's gonna be the same thing. They're They're going to take a balance sheet and they're going to shove bonds down it to get yields down. This is what it is going to happen. That's it for me today. Don't forget you can download and subscribe at knowyourriskpodcast.com. Check us out on YouTube and cheers and see you out there soon.